

HRMAGIX016 - Gratuity Policy as per Indian Labour Laws

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1. Purpose

Gratuity is a statutory benefit under the Payment of Gratuity Act, 1972, that serves as a token of appreciation for employees' long-term service to the organisation. This policy outlines the eligibility, calculation, payment timelines, tax exemptions, and procedures for claiming gratuity under Indian labour laws.

2. Eligibility for Gratuity

An employee is eligible for gratuity if they meet the following conditions:

- Completed 5 years of continuous service with the organisation.

Gratuity is payable upon the following conditions:

- Superannuation (Retirement)
- Resignation or Termination
- Death or Disablement due to an accident or disease (5 years of service is not mandatory in this case).

3. Calculation of Gratuity

Gratuity is calculated using the following formula:

$$\text{Gratuity} = (\text{Last drawn salary} \times 15 \times \text{Number of years of service}) / 26$$

- The last drawn salary includes Basic Pay + Dearness Allowance (DA).
 - 15 days' salary for each completed year of service is considered.
 - The number of years of service is rounded off to the nearest full year:
 - 5 years and 7 months = 6 years.
 - 5 years and 5 months = 5 years.
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4. Maximum Gratuity Limit

The maximum amount of gratuity payable is ₹20,00,000 as per the latest amendments to the law. Any gratuity amount exceeding this limit is treated as ex gratia, which is a voluntary payment made by the employer.

5. Payment Timeline

Gratuity must be paid within 30 days from the date it becomes payable. In case of delay beyond this period, the employer is liable to pay interest on the amount as per the provisions of the law.

6. Tax Exemption on Gratuity

For private-sector employees, the least of the following is exempt under Section 10(10) of the Income Tax Act:

- ₹20,00,000.
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7. Nomination and Death Benefits

- Employees are required to nominate a family member for gratuity benefits.
 - In the case of the employee's death, gratuity will be paid to the nominee or legal heir.
 - Gratuity paid due to death is not taxable.
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8. Forfeiture of Gratuity

Gratuity may be forfeited partially or fully if the employee:

- Is terminated due to misconduct involving immoral behaviour.
 - Causes damage or loss to the employer's property due to willful negligence.
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9. Gratuity Administration

The Human Resources Manager or any other officer designated by the management shall be responsible for:

- Administration and processing of gratuity claims.
 - Maintenance of statutory records.
 - Ensuring timely compliance with the provisions of the applicable law
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10. Procedure for Claiming Gratuity

- All eligible employees must submit their gratuity claim in writing using Form I within 30 days from the date gratuity becomes payable.
 - In case of the employee's death, the nominee/legal heir shall submit the claim using Form J.
 - The company must process such claims and release the payable amount within 30 days of receipt. In case of delay, the employer shall be liable to pay interest as per Section 7(3A) of the Payment of Gratuity Act, 1972.
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11. Dispute Resolution Mechanism

Any dispute arising regarding the payment, amount, or eligibility of gratuity shall be referred to the Controlling Authority appointed under the Payment of Gratuity Act, 1972, by the Labour Department of the Government of Maharashtra. The decision of the Controlling Authority will be binding on all parties involved.

12. Policy Review & Amendments

This policy shall be reviewed annually by the HR department or whenever amendments are notified under the Payment of Gratuity Act, 1972.
